

a big challenge for the company,” says Jinesh Joshi, Research Analyst at Prabhudas Lilladher.

This revenue generation ‘opportunity’ aside, IRCTC has been going great guns, by any measure. Listed in October 2019, IRCTC’s average market capitalisation jumped 96.7 per cent in the BT500 study period (October 2021 to September 2022). Its rank on the BT500 2022 list improved to 84, from 131 in 2021.

Total income and profit after tax rocketed 127 per cent and 255 per cent, respectively, in FY22 against FY21. The company has zero debt. Incorporated in 1999, IRCTC has delivered profit growth of 23.8 per cent CAGR over the past five years.

Currently, IRCTC is the only entity authorised to provide certain services to the Indian Railways, including online ticketing, catering, and selling drinking water on trains and at railway stations. In the past few years, the company has also ventured into new businesses like tourism. IRCTC organises budget and deluxe package tours for domestic and foreign tourists.

Humsafar Express. According to IRCTC, in the quarter ended June, the Tejas trains generated revenue of ₹41 crore and profit of ₹5 crore (versus revenue of ₹21 crore and a loss of ₹4 crore in Q4FY22) on the back of increased occupancy.

THE COMPANY’S RECOVERY after the Covid-19 pandemic has been good, too. “IRCTC’s business model has once again demonstrated its resilient nature and its ability to scale up. In the last quarter of the last financial year, the catering segment has been the main driver of quarter-over-quarter revenue growth and the revenue for the segment has also touched a new high,” Rajni Hasija, Chairperson and Managing Director of IRCTC, said in the company’s analyst call, further adding that the Rail Neer (drinking water) segment also surpassed its peak revenue of the pre-pandemic period with better capacity utilisation of its plants. “The pandemic is behind the travel and hospitality

ing alone. Next up: capacity would be ramped up for Rail Neer in the next few years. According to Hasija, the Simhadri plant is almost ready and may be commissioned anytime in the near future. “We are waiting for one of the licences so that an upgradation of 1.2 lakh litre can be [made]... and our Bhusawal plant is also nearing completion. Two plants will be opened up this financial year before December. Our maximum capacity has been 14.8 lakh litre a day, so that will now ramp up to 16.8 lakh litre, which we will be achieving before December,” she said at the analyst call.

According to IDBI Capital, IRCTC continued to log robust revenue growth and was above its estimates. Profitability observed some drag in the first quarter due to a decline in internet ticketing margins (down 700 bps QoQ), it said. In the longer term, the company will benefit from increased licence income in catering as it returns to pre-Covid levels. “In addition, with increased acceptance of online ticket booking, we expect internet ticketing to remain robust. Further, tourism is also expected to improve led by increase in travelling. The company’s focus on e-catering initiatives and increasing revenues from advertisements and licence fees bodes well for long term profitability,” IDBI Capital said in a report. Experts expect catering to drive growth led by higher pricing in cooked food (leading to higher licence income). “As of now, we are providing nearly 436 trains with pantry car and 610 trains in the TSV (train side vending) segment, and if there is demand we will be able to supply in intercity trains also,” Hasija said.

“Moreover, addition of licence revenue from new ventures (retiring room upgradation, for instance) would further improve catering income. This, coupled with increase

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LISTED IN OCTOBER 2019, IRCTC’S AVERAGE MARKET CAPITALISATION JUMPED 96.7 PER CENT IN THE BT500 STUDY PERIOD (OCTOBER 2021 TO SEPTEMBER 2022)

One such popular tourism package for budget tourists covering key destinations across India is called “Bharat Darshan”. Then, in 2020, it ventured as a ‘private player’ by operating the Tejas Express from Lucknow to New Delhi, followed by the Ahmedabad-Mumbai Central Tejas Express and Kashi Mahakal

[sector] and it can look forward to a better financial year this year and beyond, too,” she added.

IRCTC now books nearly 1.1 million tickets in a day on average, and in terms of catering, it serves more than 35,000 meals per day. Hasija said that she’s targeting ₹1,500 crore in a year from cater-